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Case Number: 25STCV03564 Hearing Date: July 20, 2026 Dept: 309

Superior
Court of California

County
of Los Angeles

DEPARTMENT 17

TENTATIVE RULING

ERIKA
BRIGHT, et al.

vs.

JOHNATHAN
ADLER, et al.

Case No.: 25STCV03564

Hearing
Date: July 20, 2026

Non-Party Equity Trust Company's motion to quash Plaintiffs' deposition subpoena for production of business records from Citibank, N.A is DENIED.

On 2/6/2025, Plaintiffs Erika Bright, Mary Brown, Nancy Carr, Kathleen Gargotto, Mary Haus, Maria Hernandez, Mary Himel, Dennis Kissman, Thomas Mcbridge, Linda Melos, Sharon Morris, Richard Sawyer, Cornelis Van Diepen, Paul Weisensel, Wesley Wiens, Amanda Moodbruy, and James Woods (collectively, Plaintiffs) filed suit against Johnathan Adler, Pedram Granfar, Patrick Garnfar, and Leila Gharache. On 1/22/2026, Plaintiffs filed a first amended complaint (FAC) alleging: (1) breach of fiduciary duty; (2) fraud; (3) conversion; (4) unfair competition; (5) violation of Corporations Code sections 25501, 25401; and (6) violation of Corporations Code sections 25403, 25505.

On 4/1/2026, Non-Party Equity Trust Company (ETC) moved to quash Plaintiffs' deposition subpoena for production of business records from Citibank, N.A.

On 6/11/2026, the Court continued the motion to 7/20/2026 for pre-disclosure review.

Discussion

ETC moves to quash Plaintiffs' deposition subpoena for production of business records issued to Citibank, N.A. on the grounds that it seeks confidential financial and banking related documents that have no bearing on this case.

In their underlying Complaint, Plaintiffs allege a "scheme orchestrated by Defendants Johnathan Adler, Pedram Granfar, [and] Patrick Granfar… ("Defendants") to obtain Plaintiffs' funds under the pretense of purchasing gold, silver, and other precious metals – only to fail to purchase and/or deliver the promised assets to Plaintiffs." (FAC ¶ 42). Instead of purchasing the precious metals, Defendants "diverted Plaintiffs' funds for unauthorized uses…" (FAC, ¶ 43).

Plaintiffs allege that of the most frequent diversions was for an "affinity advertising campaign focused on conservative television networks such as Fox News and Newsmax, as well as conservative radio programs and podcasts..." (FAC, ¶ 44). Once an affinity was established, Defendants sought to induce Oxford Gold Group (OGG) clients "to believe purchasing gold, silver, and precious metals with OGG would preserve the clients' wealth." (FAC ¶ 45). OGG's advertising campaign touted the company's ability to deliver precious metals to its clients' doorsteps, as depicted in a video advertisement. (FAC ¶

46). In total, Defendants diverted $76,297,840.05 of client funds (including those of Plaintiffs) deposited in their operating account ending in 3885 at a Bank of America branch (3885 account) towards their advertising campaign. (Ex. 1, 2).

Plaintiffs allege that in addition to the advertising campaign, Defendants diverted funds to take out unauthorized distributions to themselves. (FAC ¶¶ 60-62). Put differently, Plaintiffs allege that Defendants engaged in a fraudulent scheme characterized by affinity fraud and by making fraudulent misrepresentations to find new victims, thereby enabling Defendants to make continuous Ponzi payments and further conceal the scheme. (FAC, ¶¶ 64-71).

On 3/12/2026, the Bankruptcy Trustee of OGG's estate filed an adversary proceeding against ETC for aiding and abetting Defendants' breach of fiduciary duty. The Trustee's Complaint identified ETC as "the custodian for substantially all of [OGG's] IRA clients…" (RJN Ex. 1, ¶ 8). The Trustee laid out the basic interaction between the scheme's victims and ETC/Defendants as follows:

The metals had been marketed by the debtor and, once the clients had responded to the debtor's aggressive advertising campaign, they would place an order with the debtor's marketing staff for a particular quantity of bullion bars or coins… Then, at the direction of the debtor, the clients would transfer their IRA funds… to ETC which, taking out a modest sum for future cash expenses such as storage fees and its own annual service fee of $150, would immediately transfer the money to the debtor.

(RJN Ex. 1, ¶ 8).

As such, Plaintiffs allege that the scheme was only made possible by ETC's active participation. Plaintiffs allege that ETC "learned" of Defendants' diversions "by January 2022" but "instead of terminating its 'partnership with [OGG]… ETC kept the relationship going and continued to send the millions of dollars of client money to the debtor every month for the next twenty-five months." (RJN Ex. 1, ¶ 34)

Plaintiffs have allegedly learned of at least $163 million of client funds transferred by ETC to the commingled bank account controlled by Defendants. (See Ex. 8, p. 1) Plaintiffs contend that "[t]he bank account statements Plaintiffs seek will demonstrate an essential step of

Defendants' Ponzi scheme: Defendants' advertising expenses were funded almost exclusively through diverted client funds, corresponding to ongoing ETC wire transfers of those funds. Plaintiffs have learned Defendants never earned enough profits to fund their expenses; as the Trustee put it, OGG "was always insolvent" (RJN Ex. 1, ¶ 19)." (Opp., 10: 1-5.)

After review, the Court finds that the subpoena, which seeks information related to the diversion accounts, is directly relevant to this action, as it provides not only a practical means for the tracing the funds at issue, but also speaks to the knowledge of Citibank and/or agents, officers, or employees of ETC as to suspicious activity.

Based on the foregoing, ETC's motion to quash Plaintiffs' deposition subpoena for production of business records from Citibank, N.A is denied.

It is so ordered.

Dated: July , 2026

Hon. Jon R. Takasugi

Judge of the Superior Court

Parties who intend to submit on this tentative must send an email to the court at by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.